

relax. That is a false security created by the temporary removal of financial pressure. They should resist that urge to splurge.

Third, all too often when someone consolidates, he or she borrows more than what is needed to pay the outstanding bills. Then that person buys things he or she has wanted for several months but wasn't able to afford. The purchases may actually be needed items, such as a refrigerator, a washing machine, or a car.

What's wrong with that? Nothing, as long as the individual is disciplined enough to save the money to buy those things. But for those who already have discipline problems, it's just one more way to splurge.

In our culture there are almost limitless temptations to spend. Thousands of people actually make their living by thinking of new ways to lend money and collect interest. Perhaps the most common method of consolidating has become the home equity loan. Since the 1986 Tax Reform Act¹ made home loans virtually the only interest deductible on income taxes, more and more people have turned to home equity loans for consolidating.

I personally believe home equity loans are one of the worst ideas ever pushed on the average family. It encourages them to put their homes in jeopardy and borrow to buy things that they can easily do without, such as new cars.

SOURCES OF CONSOLIDATION LOANS

There are several places where people can obtain a consolidation loan.

Cash Value Insurance

An often-overlooked source of funds for consolidating is the cash value in an insurance policy. That money can normally be borrowed at far less than market rates. Even if you don't have a cash value policy, perhaps a parent does and would be willing to lend it to you.

Pledged Collateral